

Brecksville-Broadview Heights City School
District

Five Year Forecast
Financial Report

November, 2020

CRAIG YANIGLOS, CFO

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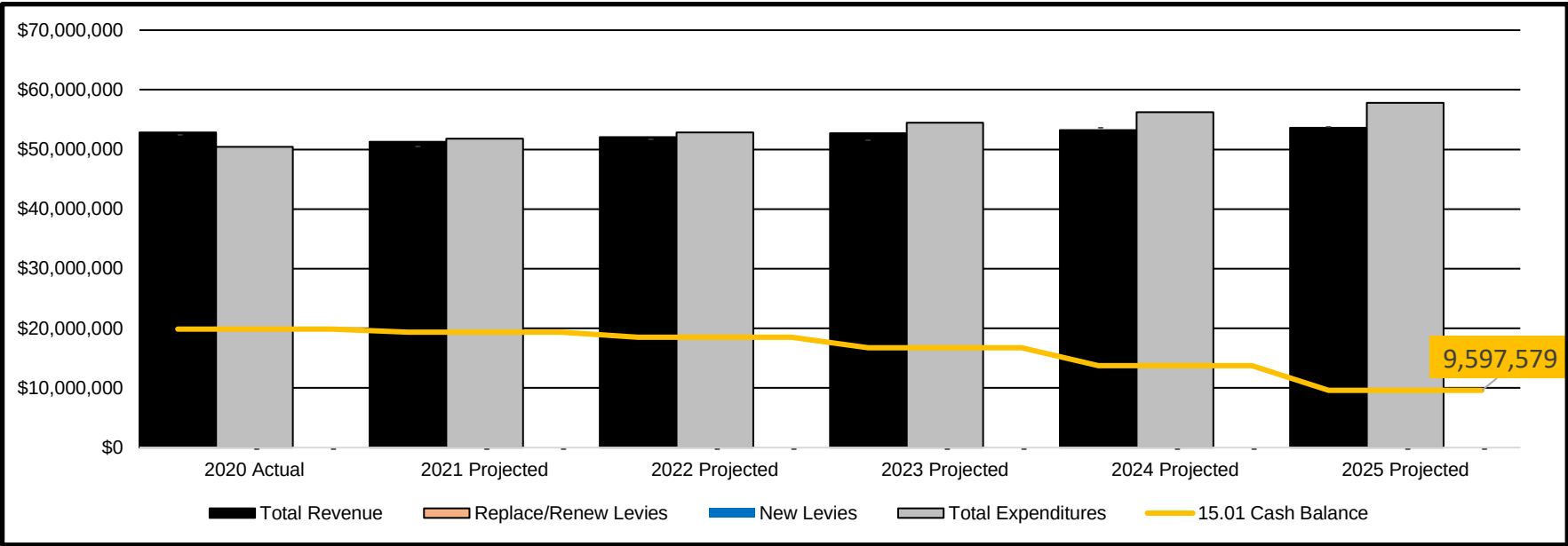
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Forecast Purpose/Objectives

Ohio Department of Education's purposes/objectives for the five-year forecast are:

- 1. To engage the local board of education and the community in the long range planning and discussions of financial issues facing the school district.
- 2. To serve as a basis for determining the school district's ability to sign the certificate required by O.R.C. §5705.412, commonly known as the "412 certificate."
- 3. To provide a method for the Department of Education and Auditor of State to identify school districts with potential financial problems.

Forecast Methodology - This forecast is prepared based upon historical trends and current factors. This information is then extrapolated into estimates for subsequent years. The forecast variables can change multiple times throughout the fiscal year and while cash flow monitoring helps to identify unexpected variances no process is guaranteed. The intent is to provide the district's financial trend over time and a roadmap for decisions aimed at encouraging financial sustainability and stability.



Note: Cash balance includes any existing levy modeled as renewed during the forecast.
Cash balance is not reduced for encumbrances.

Financial Forecast	Fiscal Year 2021	Fiscal Year 2022	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025
Beginning Balance	19,867,227	19,323,644	18,524,983	16,740,070	13,751,163
+ Revenue	51,252,939	52,059,915	52,692,784	53,230,698	53,659,915
+ Proposed Renew/Replacement Levies	-	-	-	-	-
+ Proposed New Levies	-	-	-	-	-
- Expenditures	(51,796,522)	(52,858,577)	(54,477,697)	(56,219,606)	(57,813,499)
= Revenue Surplus or Deficit	(543,583)	(798,662)	(1,784,913)	(2,988,908)	(4,153,584)
Ending Balance with renewal levies Note: Not Reduced for Encumbrances	19,323,644	18,524,983	16,740,070	13,751,163	9,597,579

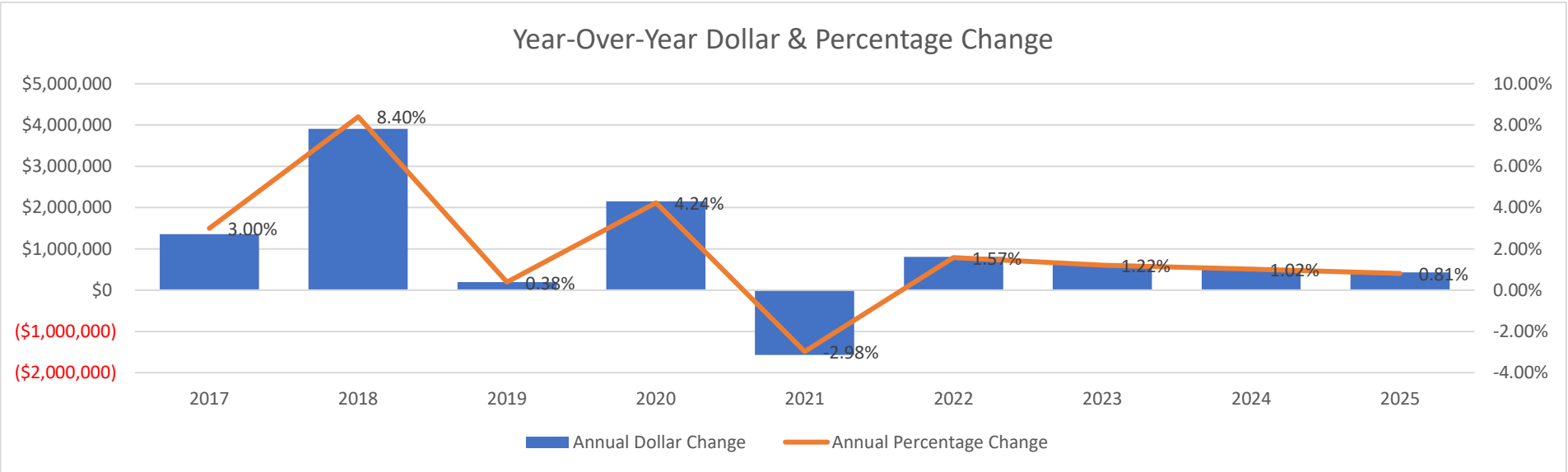
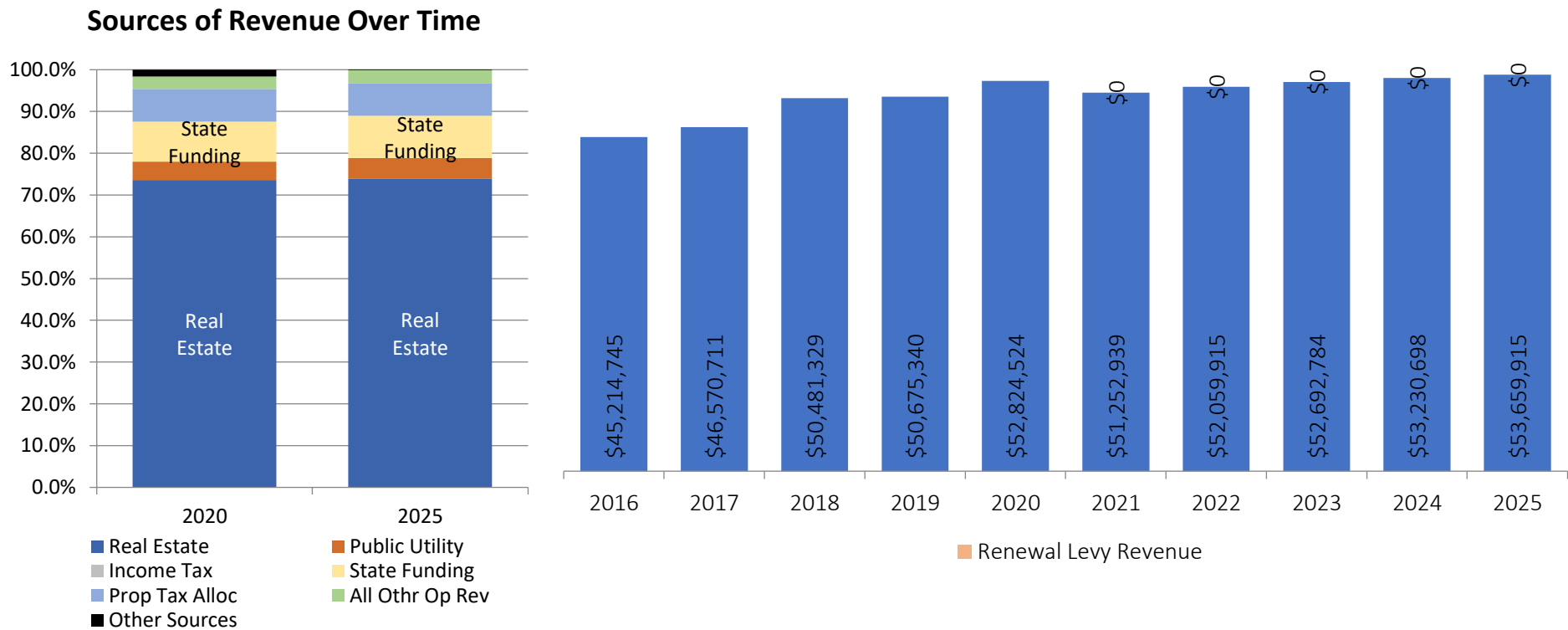
Analysis Without Renewal Levies Included:

Revenue Surplus or Deficit w/o Levies	(543,583)	(798,662)	(1,784,913)	(2,988,908)	(4,153,584)
Ending Balance w/o Levies	19,323,644	18,524,983	16,740,070	13,751,163	9,597,579

In FY 2021 a revenue shortfall is expected. This means that expenditures are expected to be greater than revenue by \$543,583 in FY 2021. By the last year of the forecast, FY 2025, the district is expected to have a revenue shortfall where expenditures are projected to be greater than revenue by \$4,153,584. The district would need to cut its FY 2025 projected expenses by 7.18% in order to balance its budget without additional revenue.

The district's cash balance is positive at year-end in FY 2021 and is projected to worsen by FY 2025. A worsening cash balance can erode the district's financial stability over time.

Revenue Sources and Forecast Year-Over-Year Projected Overview



3-Year Historical Actual Average Annual Dollar Change
Compared to 5-Year Projected

	Historical Average Annual \$\$ Change	Projected Average Annual \$\$ Change	Projected Compared to Historical Variance	
Real Estate	\$2,390,233	\$159,899	(\$2,230,334)	Total revenue increased 4.34% or \$2,084,604 annually during the past five years and is projected to increase 0.33% or \$167,078 annually through FY2025. Real Estate has the most projected average annual variance compared to the historical average at - \$2,230,334
Public Utility	\$116,703	\$65,063	(\$51,640)	
Income Tax	\$0	\$0	\$0	
State Funding	(\$158,819)	\$70,795	\$229,614	
Prop Tax Alloc	(\$408,810)	\$17,297	\$426,107	
All Othr Op Rev	(\$110,794)	\$4,153	\$114,947	
Other Sources	\$256,091	(\$150,128)	(\$406,219)	
Total Average Annual Change	\$2,084,604	\$167,078	(\$1,917,526)	
	4.34%	0.33%	-4.01%	

Note: Expenditure average annual change is projected to be > \$1,476,142 On an annual average basis, expenditures are projected to grow faster than revenue.

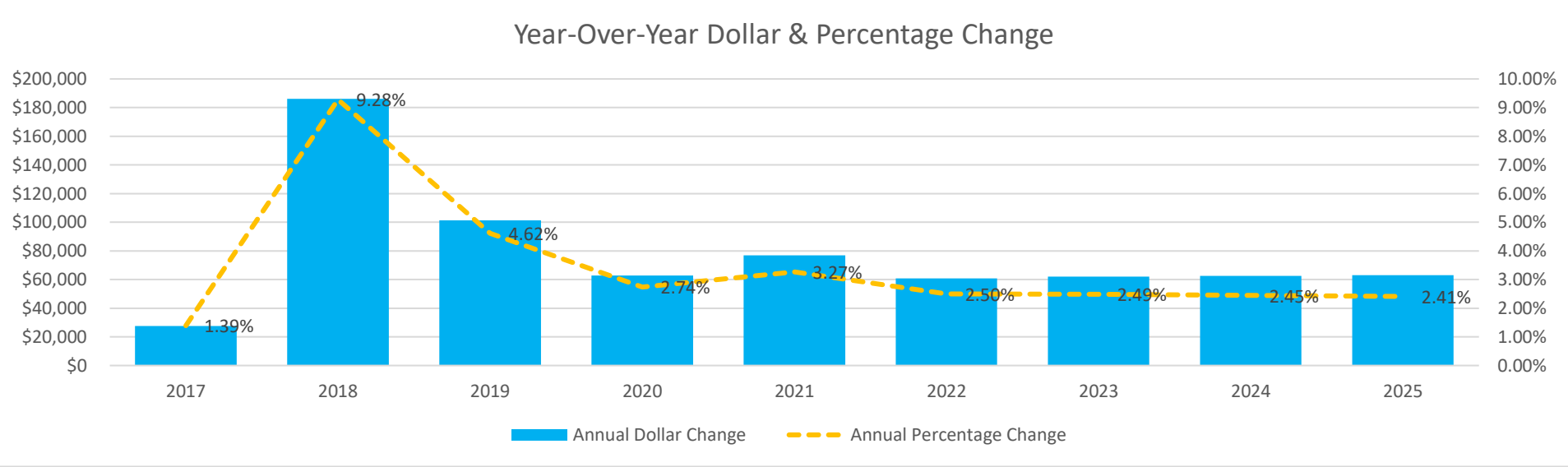
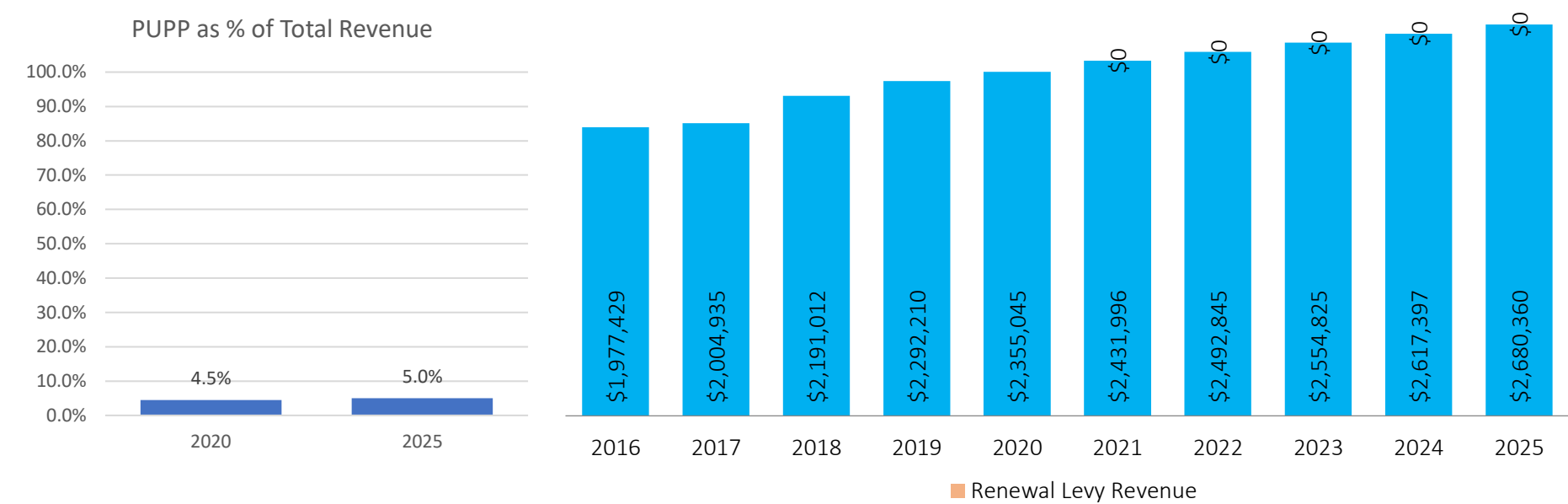
1.010 - General Property Tax (Real Estate)

Revenue collected from taxes levied by a school district by the assessed valuation of real property using effective tax rates for class I (residential/agricultural) and class II (business).



1.020 - Public Utility Personal Property

Revenue generated from public utility personal property valuations multiplied by the district's full voted tax rate.



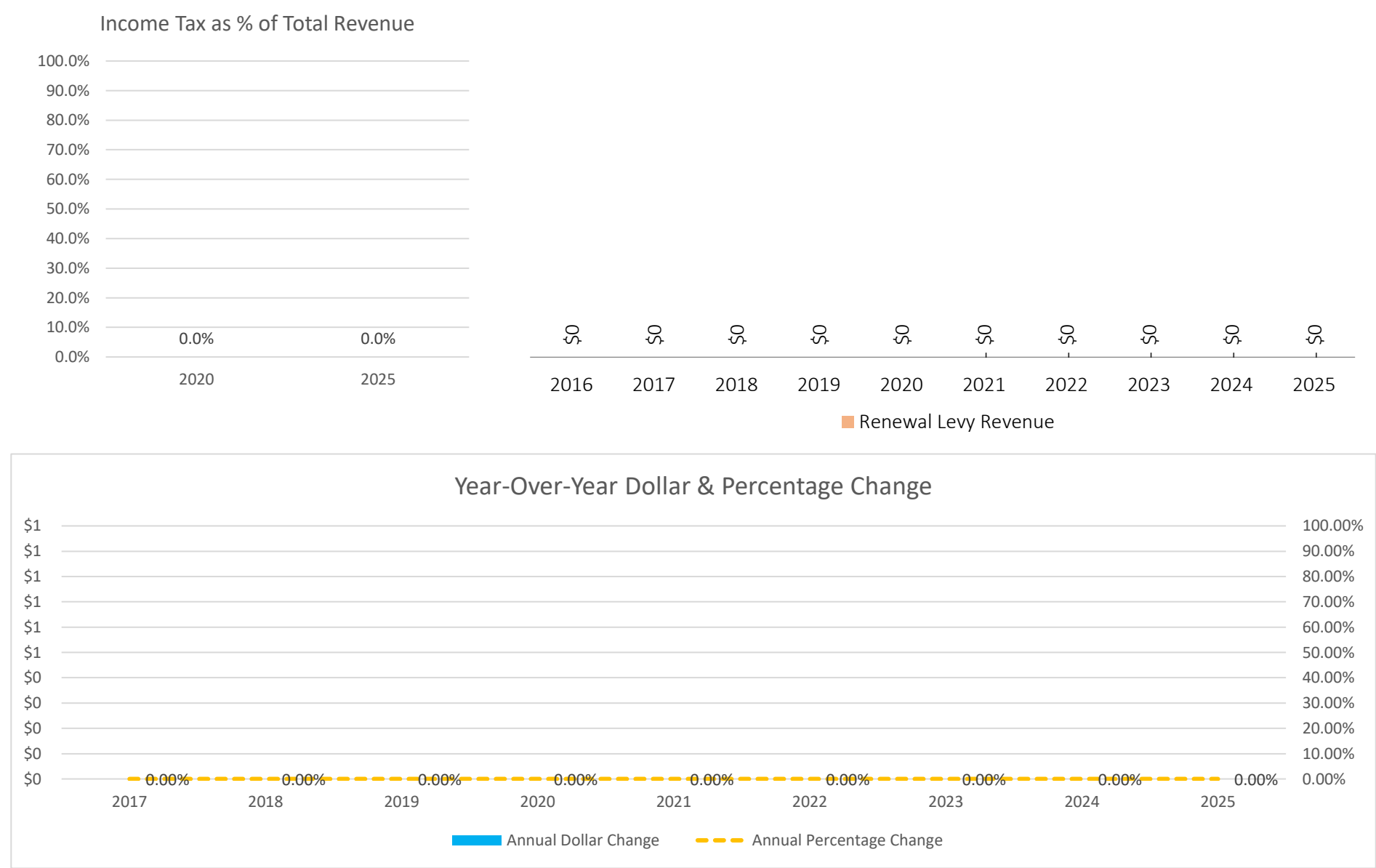
Values and Tax Rates					Gross Collection Rate Including Delinquencies
Tax Year	Valuation	Value Change	Full Voted Rate	Change	
2019	30,580,400	1,353,590	78.43	0.00	100.0%
2020	31,345,512	765,112	78.43	(0.00)	100.0%
2021	32,129,751	784,239	78.43	-	100.0%
2022	32,924,751	795,000	78.43	-	100.0%
2023	33,724,751	800,000	78.43	-	100.0%
2024	34,529,751	805,000	78.43	-	100.0%

The public utility personal property tax revenue is generated from the personal property values, additions, and depreciation reported by the utility companies. This category currently makes up 4.46% of total district revenue. The property is taxed at the full voted tax rate which in tax year 2020 is 78.43 mills. The forecast is modeling an average gross collection rate of 100.00%. The revenue changed historically at an average annual dollar amount of \$116,703 and is projected to change at an average annual dollar amount of \$65,063 through FY 2025.

*Projected % trends include renewal levies

1.030 - No Income Tax

Revenue collected from income tax earmarked specifically to support schools with a voter approved tax by residents of the school district; separate from federal, state and municipal income taxes.

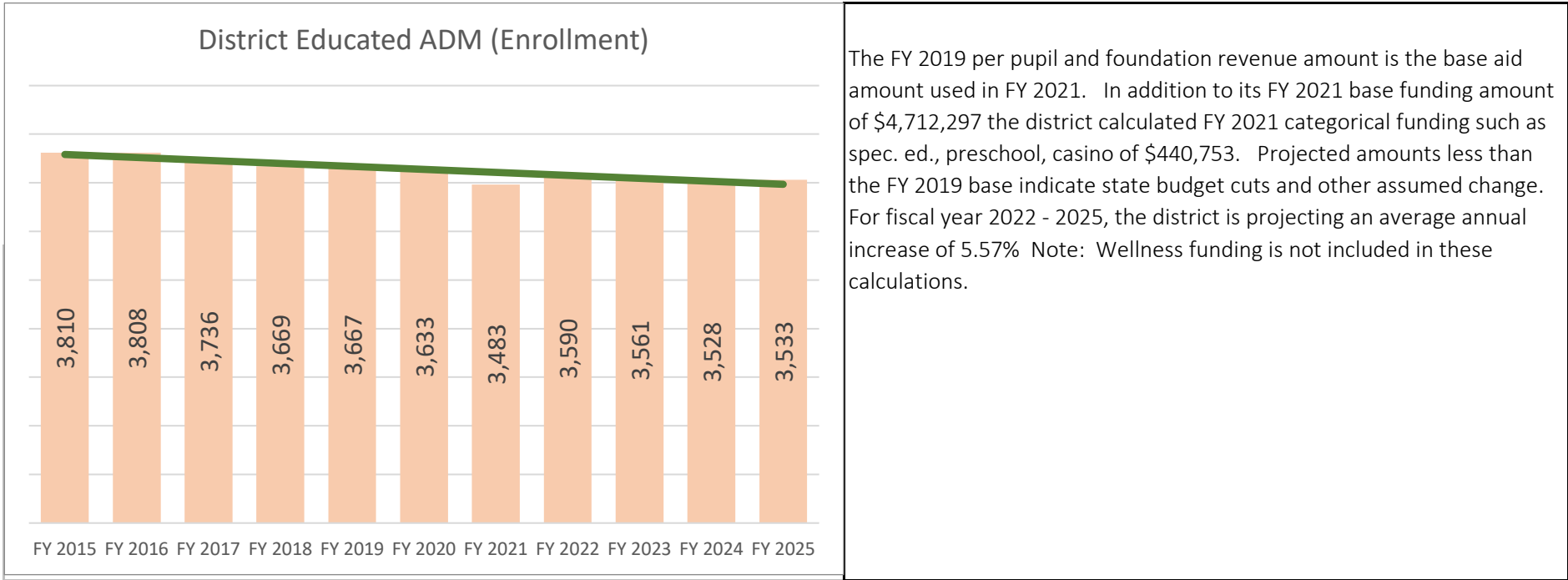
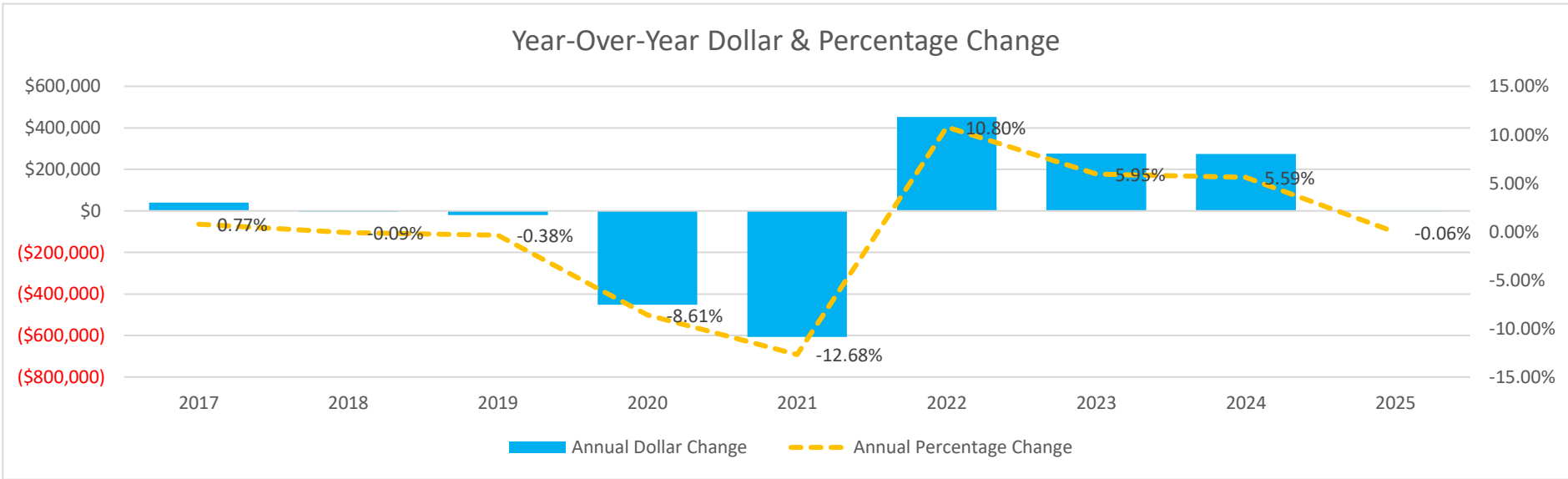
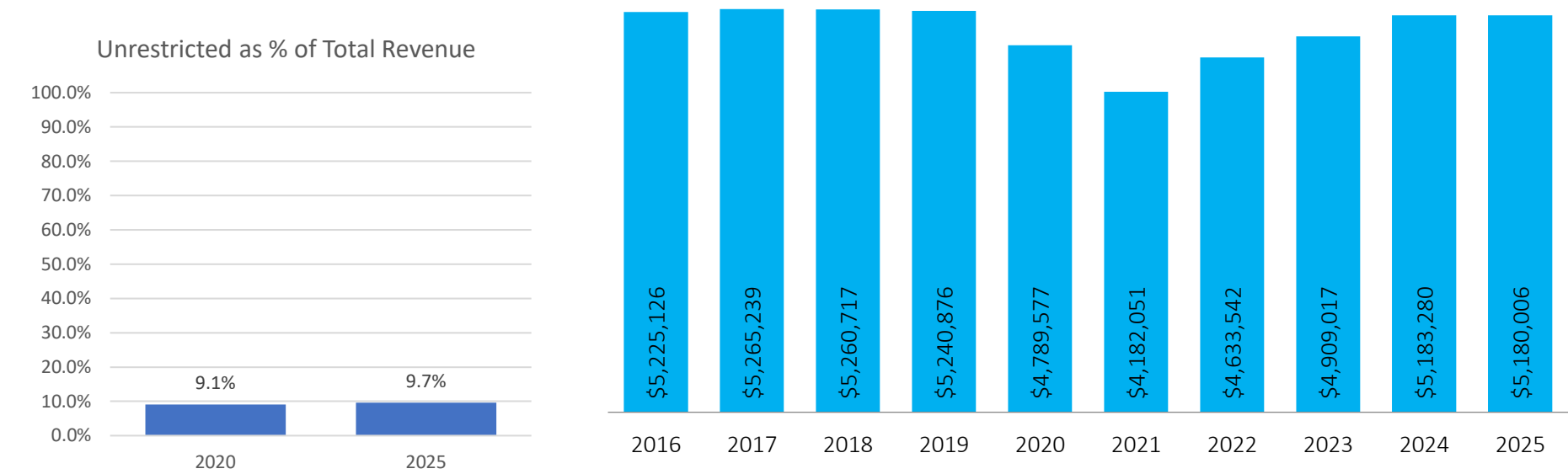


The district does not have an income tax levy.

**Projected % trends include renewal levies*

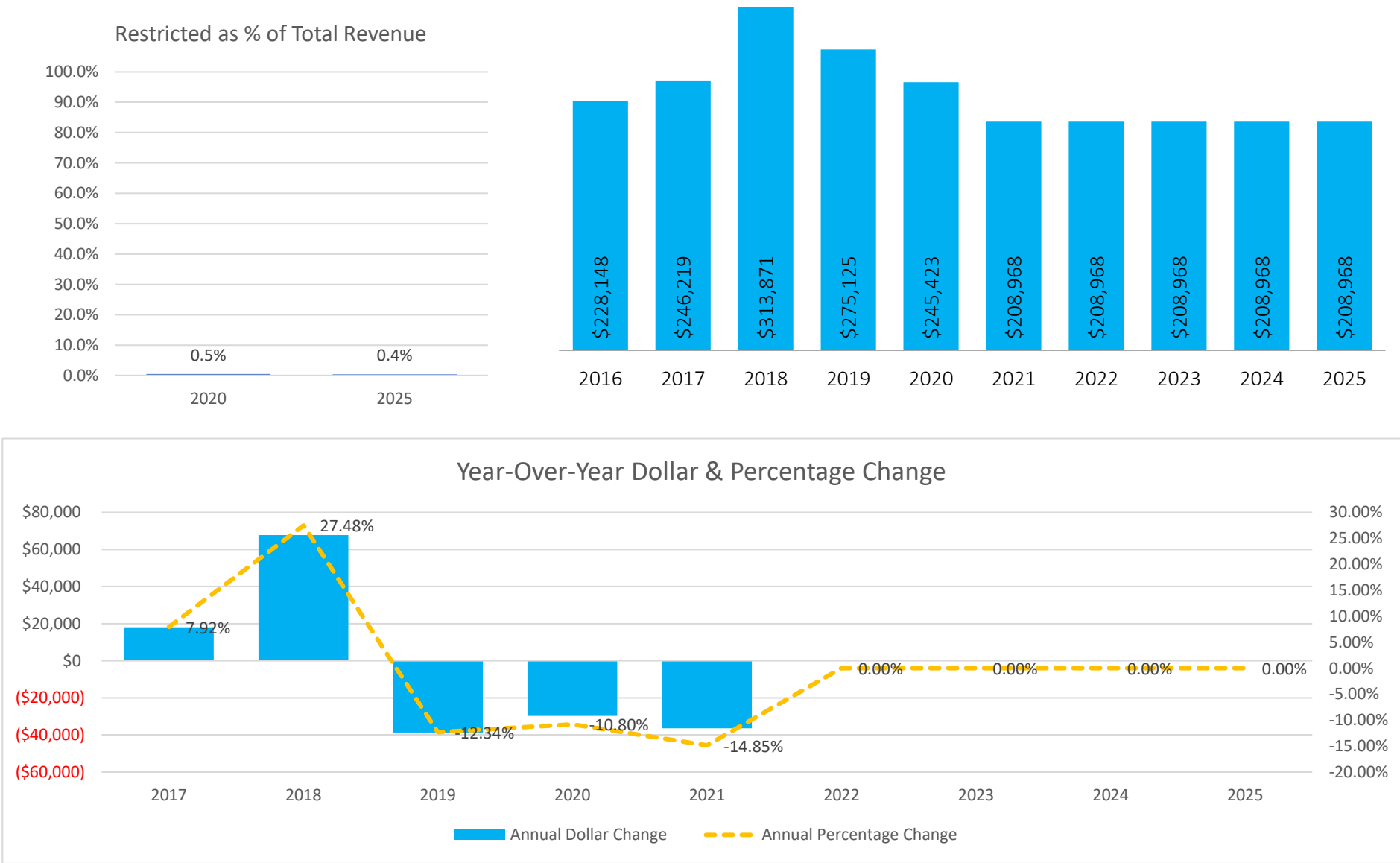
1.035 - Unrestricted Grants-in-Aid

Funds received through the State Foundation Program with no restriction.



1.040 & 1.045 - Restricted Grants-in-Aid

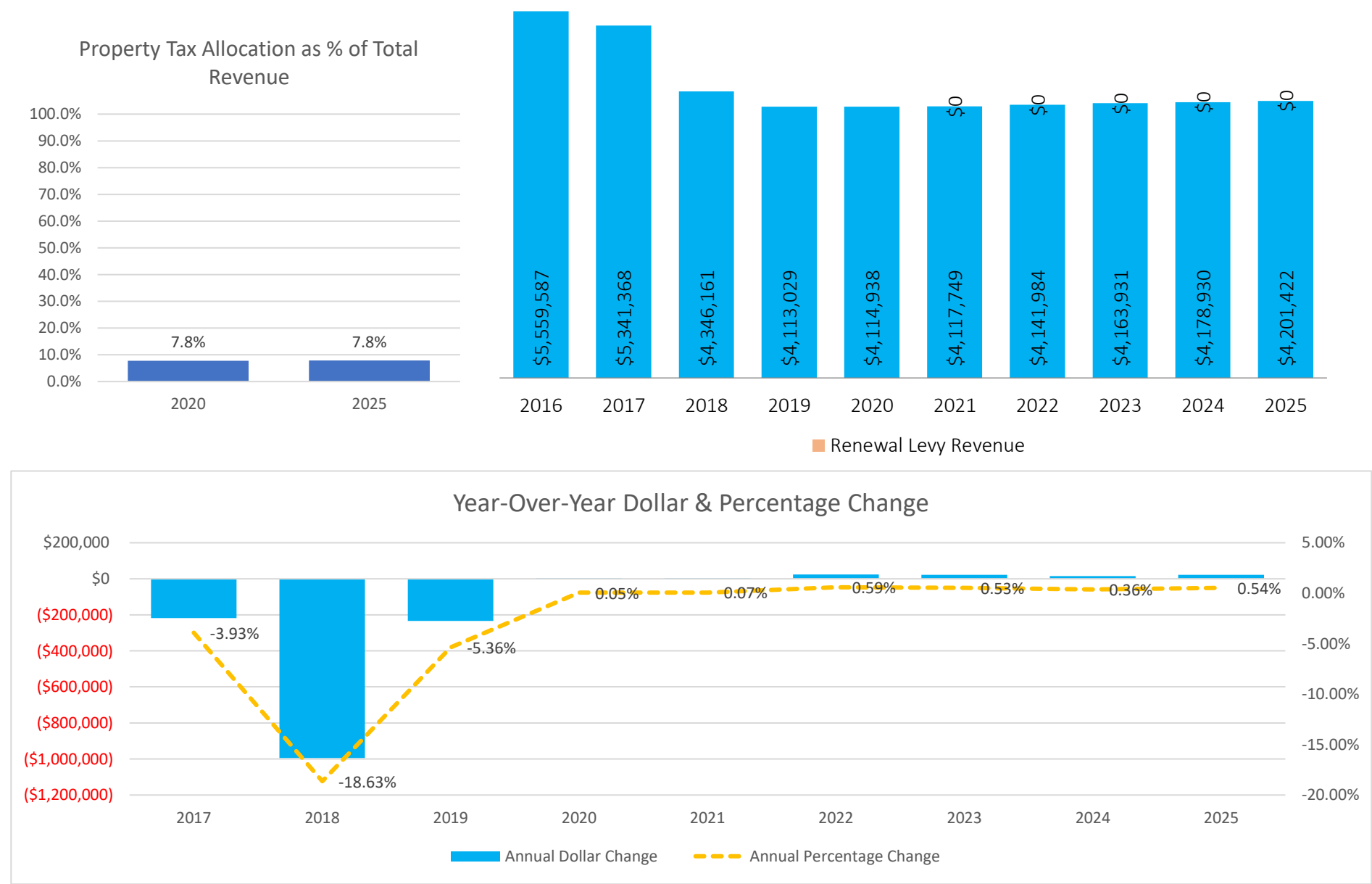
Funds received through the State Foundation Program or other allocations that are restricted for specific purposes.



Restricted aid is the portion of state per pupil funding that must be classified as restricted use. Historically the district's restricted state aid changed annually on average by -\$265 and is projected to change annually on average by -\$7,291. Restricted funds represent 0.46% of total revenue.

1.050 - Property Tax Allocation

Includes funds received for Tangible Personal Property Tax Reimbursement, Electric Deregulation, Homestead and Rollback.

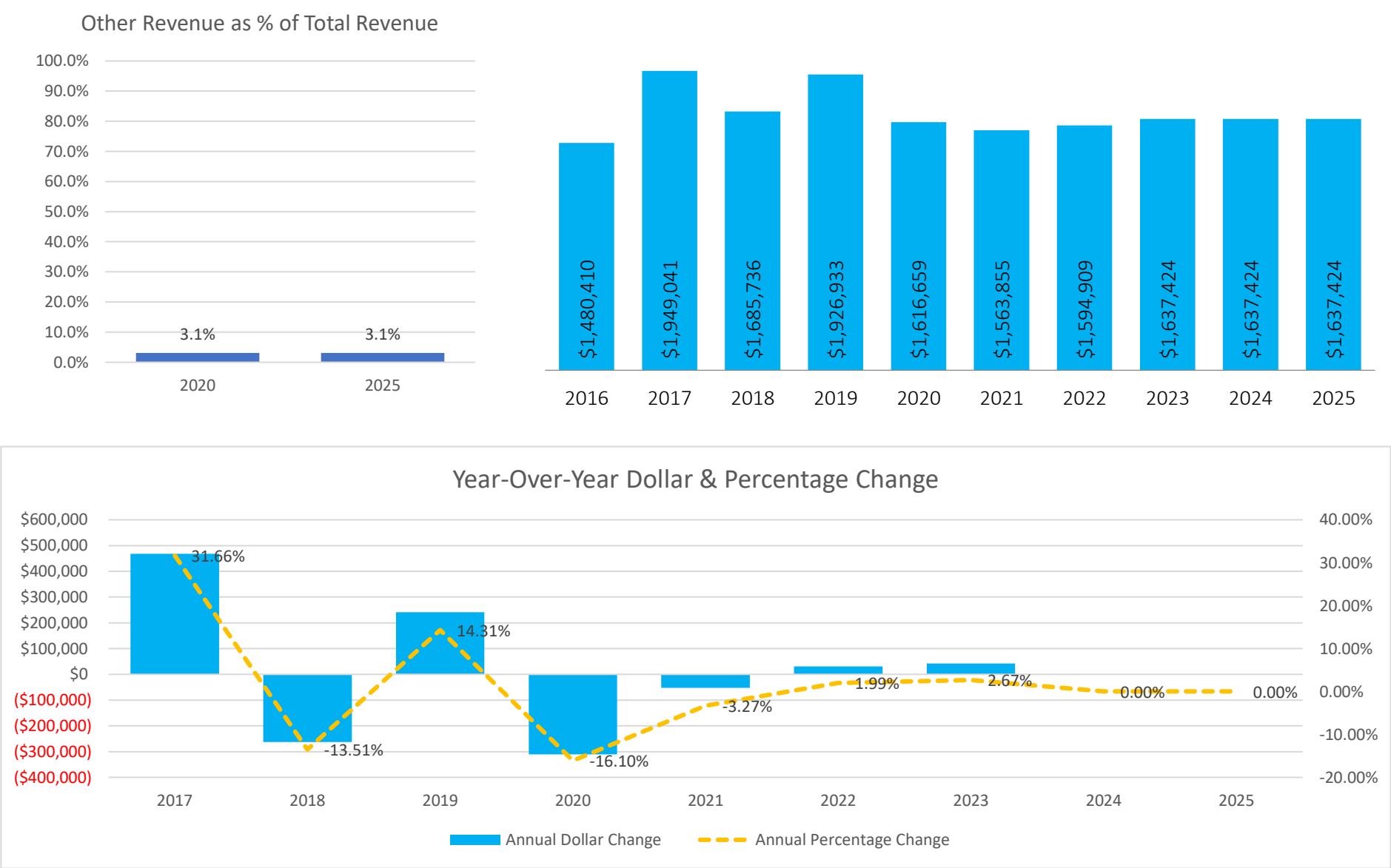


Property tax allocation primarily consists of reimbursements from the state of Ohio for local taxpayer credits or reductions. The state reduces the local taxpayer's tax bill with a 10% rollback credit, and 2.5% owner-occupied rollback credit, plus a homestead credit for qualifying taxpayers. In FY 2021, approximately 10.3% local residential property taxes will be reimbursed by the state in the form of rollback credits and approximately 1.7% will be reimbursed in the form of qualifying homestead exemption credits.

*Projected % trends include renewal levies

1.060 - All Other Operating Revenues

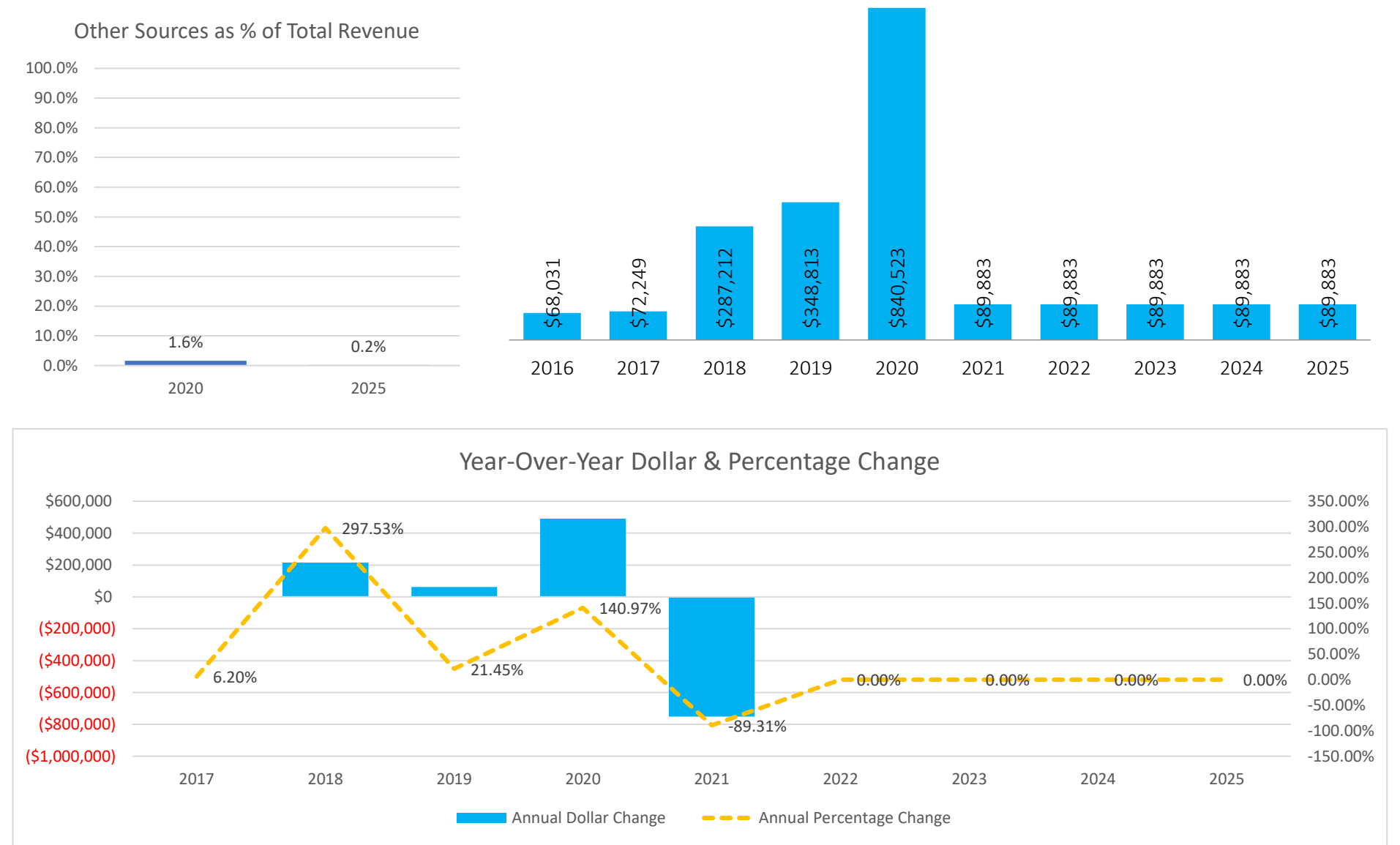
Operating revenue sources not included in other lines; examples include tuition, fees, earnings on investments, rentals, and donations.



Other revenue includes tuition received by the district for non-resident students educated by the district. It also includes interest income, payments in lieu of taxes, and miscellaneous revenue. The historical average annual change was -\$110,794. The projected average annual change is \$4,153 through FY 2025.

2.070 - Total Other Financing Sources

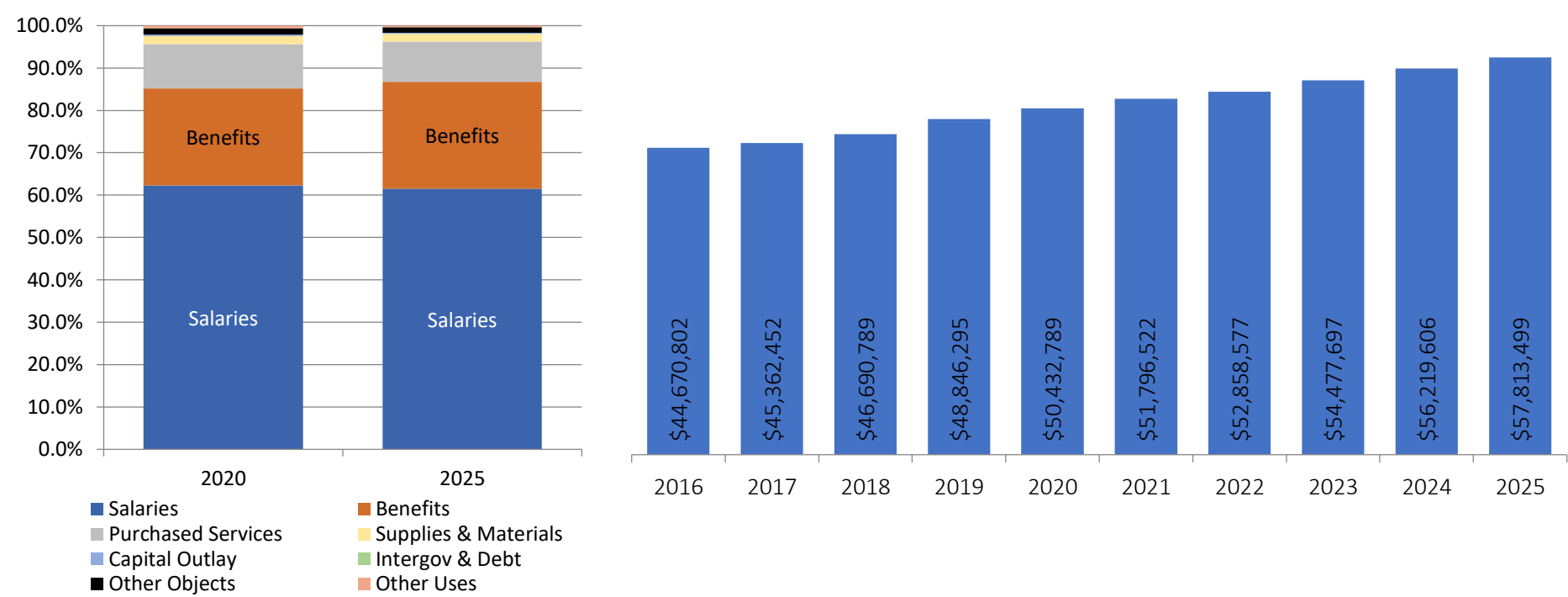
Includes proceeds from sale of notes, state emergency loans and advancements, operating transfers-in, and all other financing sources like sale and loss of assets, and refund of prior year expenditures.



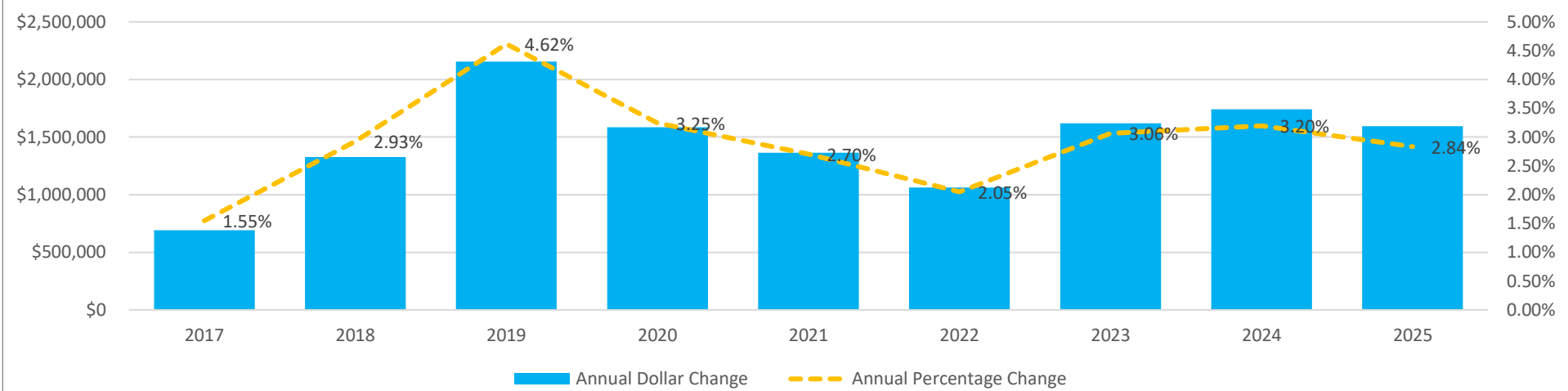
	2020	FORECASTED				
	2020	2021	2022	2023	2024	2025
Transfers In	-	-	-	-	-	-
Advances In	141,196	-	-	-	-	-
All Other Financing Sources	699,327	89,883	89,883	89,883	89,883	89,883
Other sources includes revenue that is generally classified as non-operating. It is typically in the form of advances-in which are the repayment of temporary loans made from the general fund to other district funds. In FY 2020 the district receipted \$141,196 as advances-in and is projecting advances of \$0 in FY 2021. The district also receives other financing sources such as refund of prior year expenditures in this category. The district is projecting that all other financing sources will be \$89,883 in FY 2021 and average \$89,883 annually through FY 2025.						

Expenditure Categories and Forecast Year-Over-Year Projected Overview

Expenditure Categories Over Time



Year-Over-Year Dollar & Percentage Change



3-Year Historical Actual Average Annual Dollar Change
Compared to 5-Year Projected

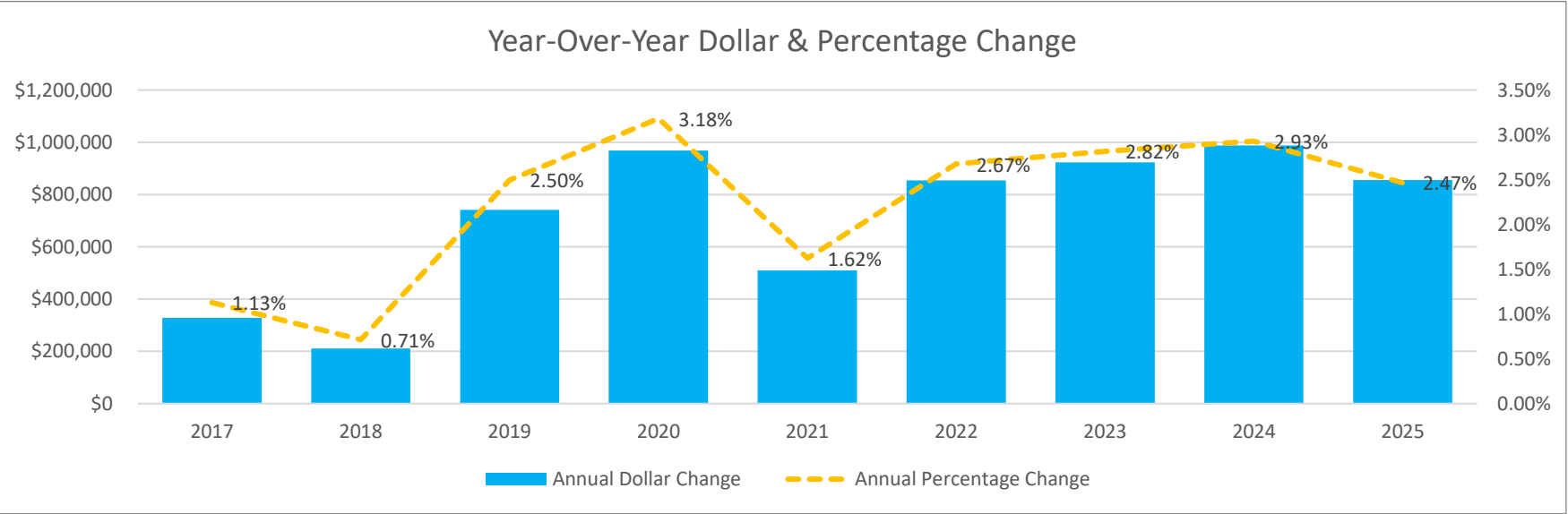
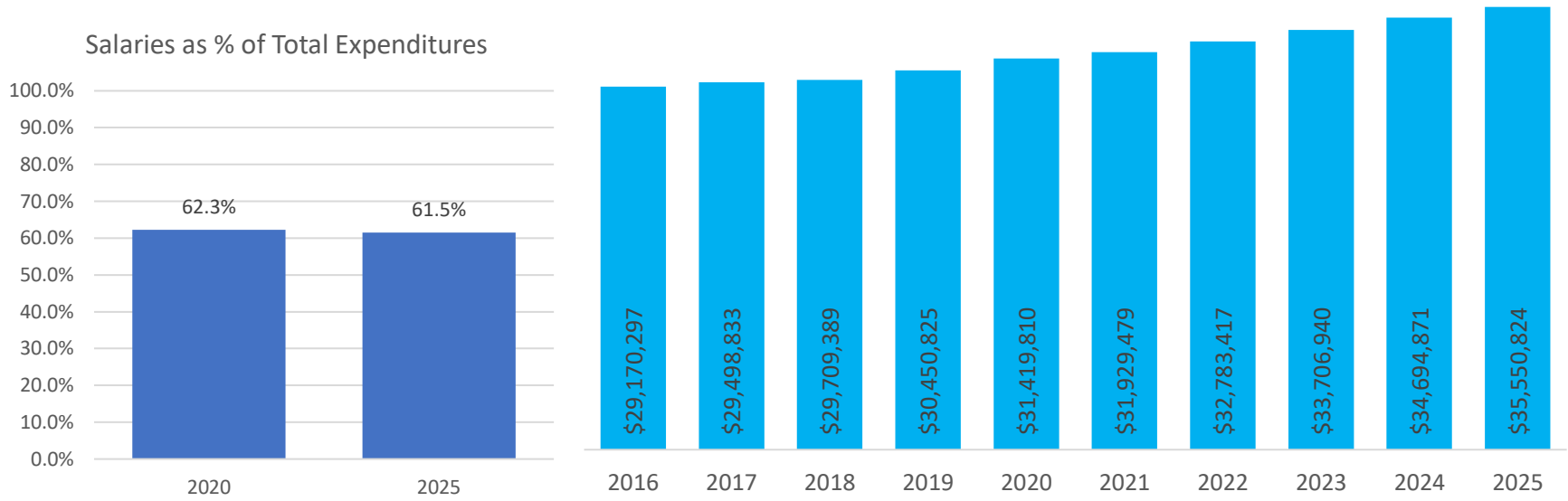
	Historical Average Annual \$\$ Change	Projected Average Annual \$\$ Change	Projected Compared to Historical Variance	Total expenditures increased 3.60% or \$1,690,112 annually during the past five years and is projected to increase 2.93% or \$1,476,142 annually through FY2025. Purchased Services has the largest projected average annual variance compared to the historical average at -\$367,360.
Salaries	\$640,326	\$826,203	\$185,877	
Benefits	\$572,813	\$616,723	\$43,910	
Purchased Services	\$400,100	\$32,740	(\$367,360)	
Supplies & Materials	\$47,603	\$24,075	(\$23,528)	
Capital Outlay	\$22,144	(\$3,994)	(\$26,137)	
Intergov & Debt	\$0	\$0	\$0	
Other Objects	\$14,091	\$5,084	(\$9,007)	
Other Uses	(\$6,964)	(\$24,690)	(\$17,726)	
Total Average Annual Change	\$1,690,112	\$1,476,142	(\$213,970)	
	3.60%	2.93%	-0.67%	

Note: Expenditure average annual change is projected to be > \$1,476,142

On an annual average basis, revenues are projected to grow slower than expenditures.

3.010 - Personnel Services

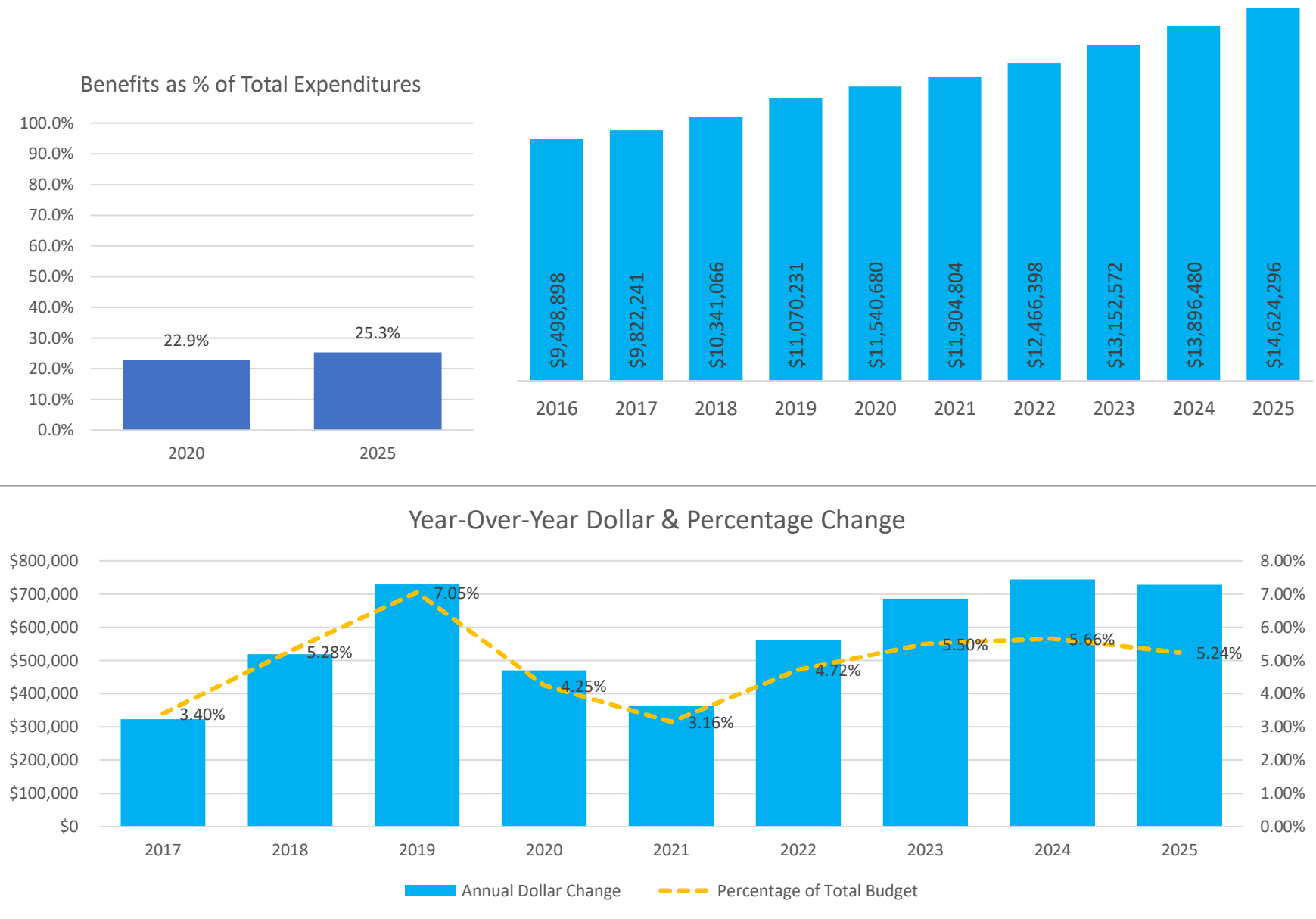
Employee salaries and wages, including extended time, severance pay, supplemental contracts, etc.



Salaries represent 62.30% of total expenditures and increased at a historical average annual rate of 2.13% or \$640,326. This category of expenditure is projected to grow at an average annual rate of 2.50% or \$826,203 through FY 2025. The projected average annual rate of change is 0.37% more than the five year historical annual average.

3.020 - Employees' Benefits

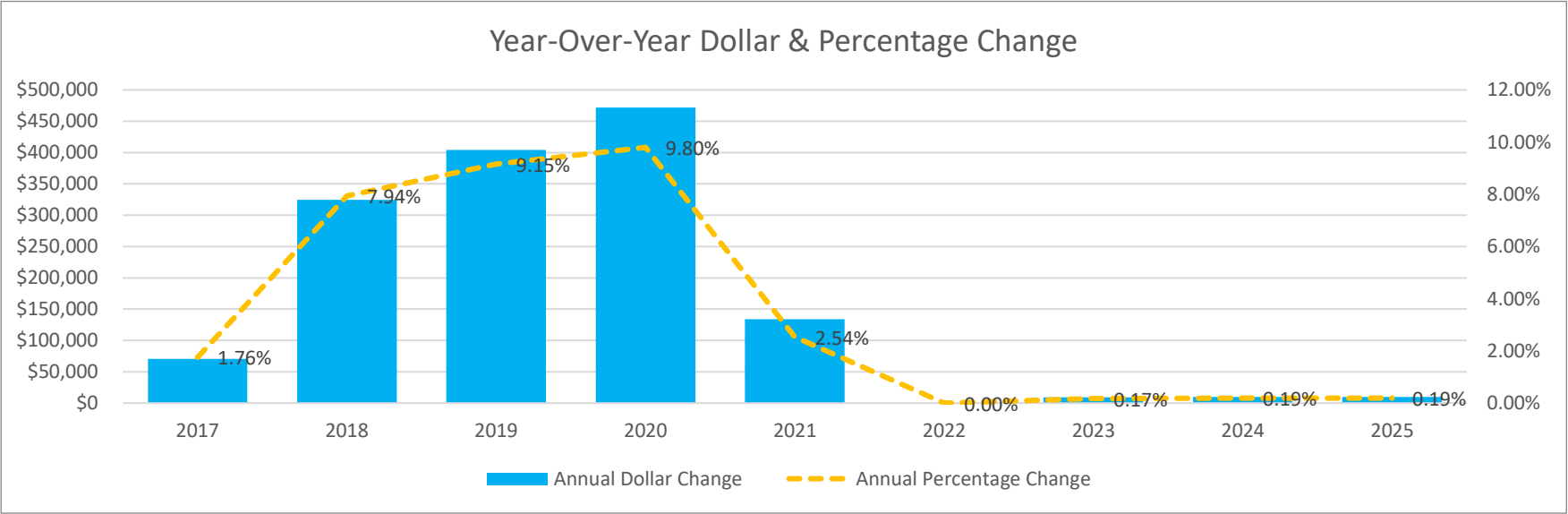
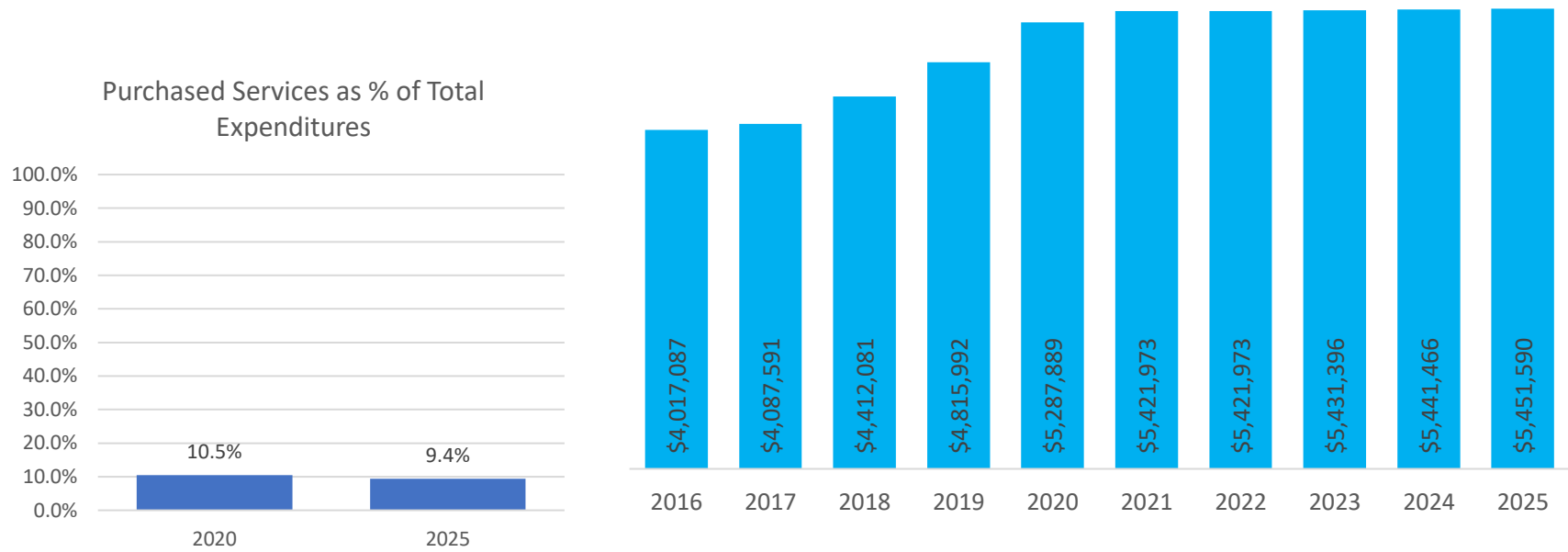
Retirement for all employees, Workers Compensation, early retirement incentives, Medicare, unemployment, pickup on pickup, and all health-related insurances.



Benefits represent 22.88% of total expenditures and increased at a historical average annual rate of 5.53% This category of expenditure is projected to grow at an annual average rate of 4.85% through FY 2025. The projected average annual rate of change is -0.67% less than the five year historical annual average.

3.030 - Purchased Services

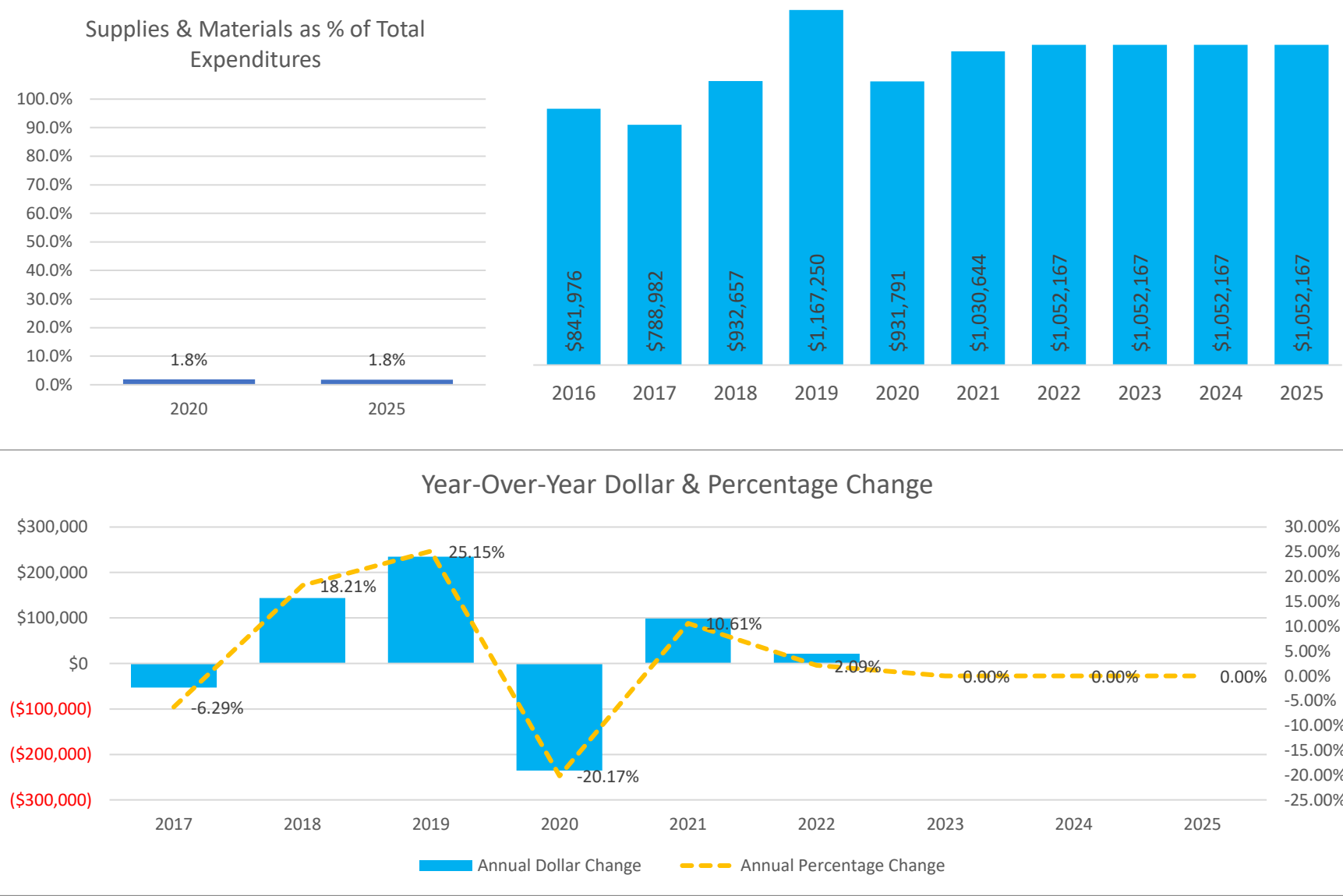
Amounts paid for personal services rendered by personnel who are not on the payroll of the school district, expenses for tuition paid to other districts, utilities costs and other services which the school district may purchase.



Purchased Services represent 10.49% of total expenditures and increased at a historical average annual rate of 8.96%. This category of expenditure is projected to grow at an annual average rate of 0.62% through FY 2025. The projected average annual rate of change is -8.35% less than the five year historical annual average.

3.040 - Supplies & Materials

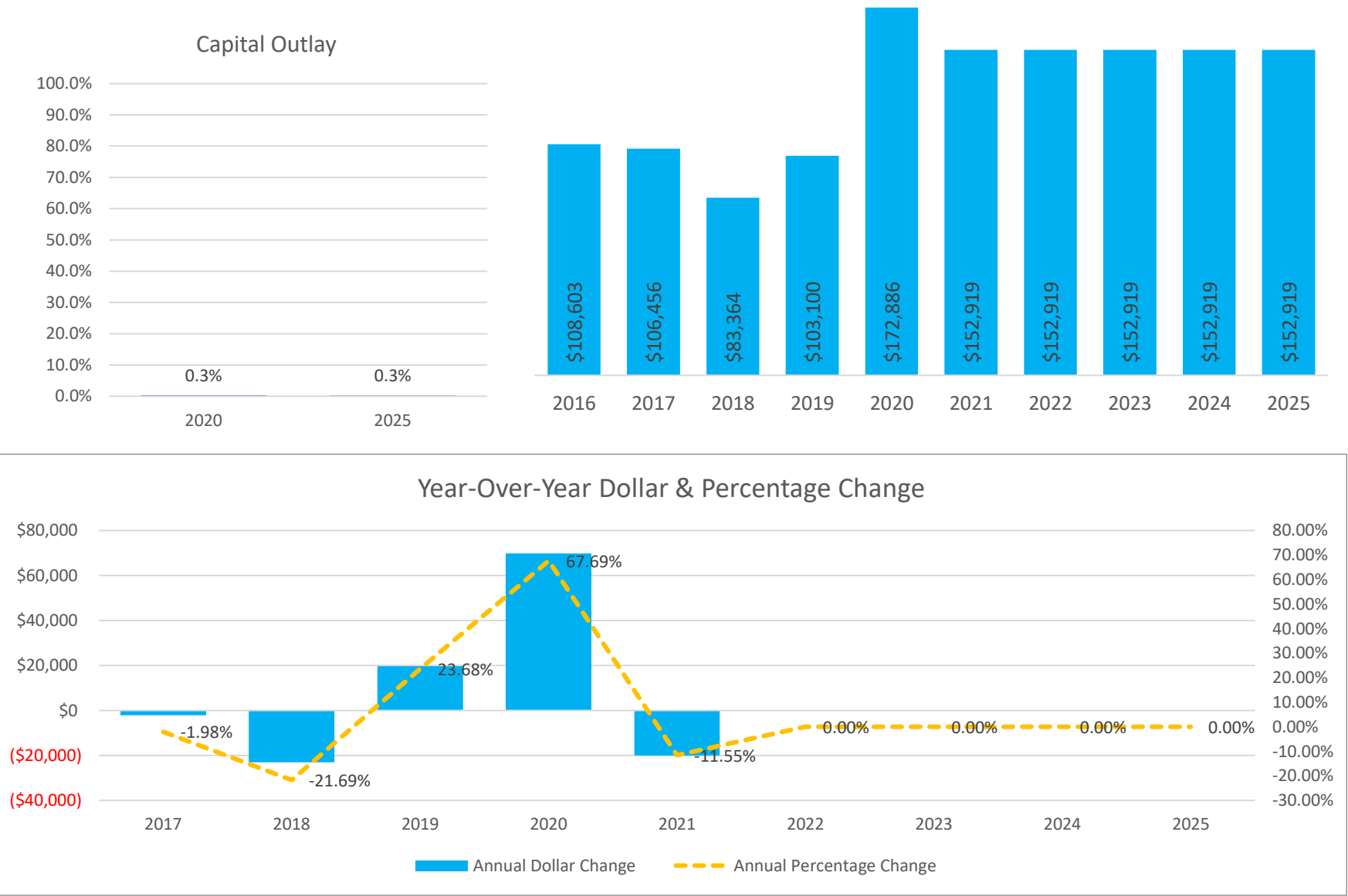
Expenditures for general supplies, instructional materials including textbooks and media material, bus fuel and tires, and all other maintenance supplies.



Supplies & Materials represent 1.85% of total expenditures and increased at a historical average annual rate of 7.73%. This category of expenditure is projected to grow at an annual average rate of 2.54% through FY 2025. The projected average annual rate of change is -5.19% less than the five year historical annual average.

3.050 - Capital Outlay

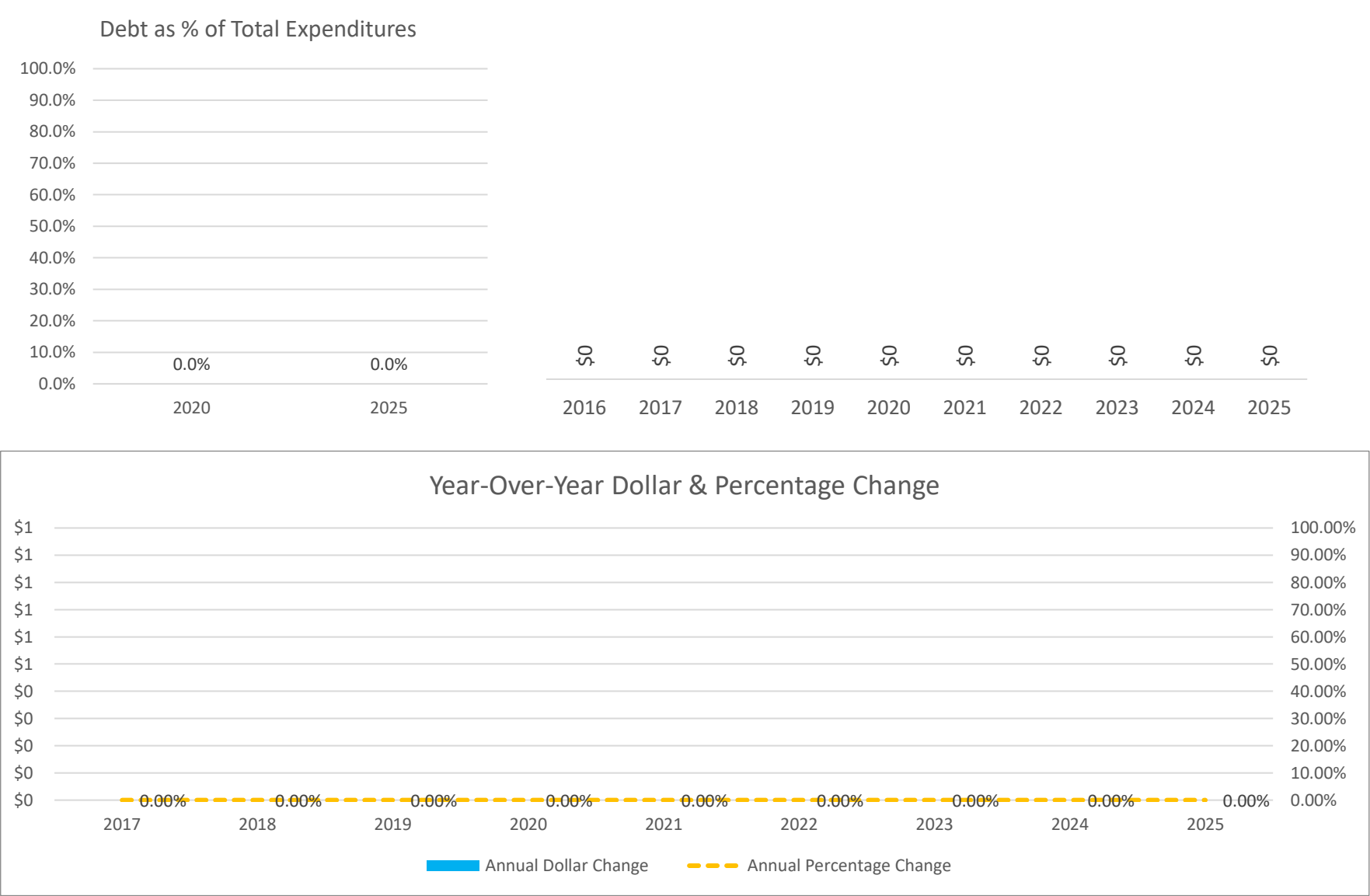
This line includes expenditures for items having at least a five-year life expectancy, such as land, buildings, improvements of grounds, equipment, computers/technology, furnishings, and buses.



Capital Outlay represent 0.34% of total expenditures and increased at a historical average annual amount of \$22,144. This category of expenditure is projected to decrease at an annual average amount of -\$3,994 through FY 2025. The projected average annual change is less than the five year historical annual average.

3.060-4.060 - Intergovernmental & Debt

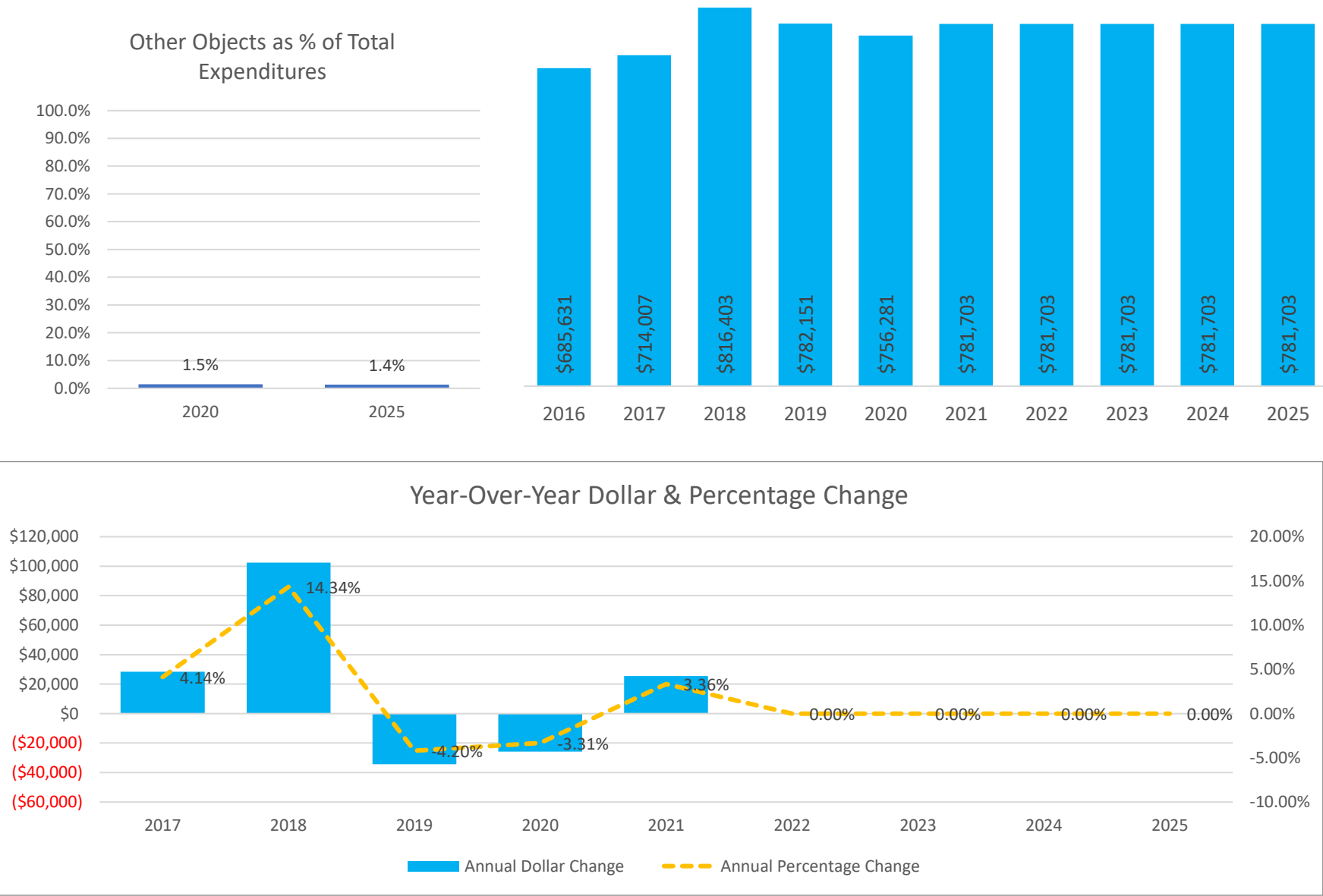
These lines account for pass through payments, as well as monies received by a district on behalf of another governmental entity, plus principal and interest payments for general fund borrowing.



The Intergovernmental/Debt expenditure category details general fund debt issued by the District.

4.300 - Other Objects

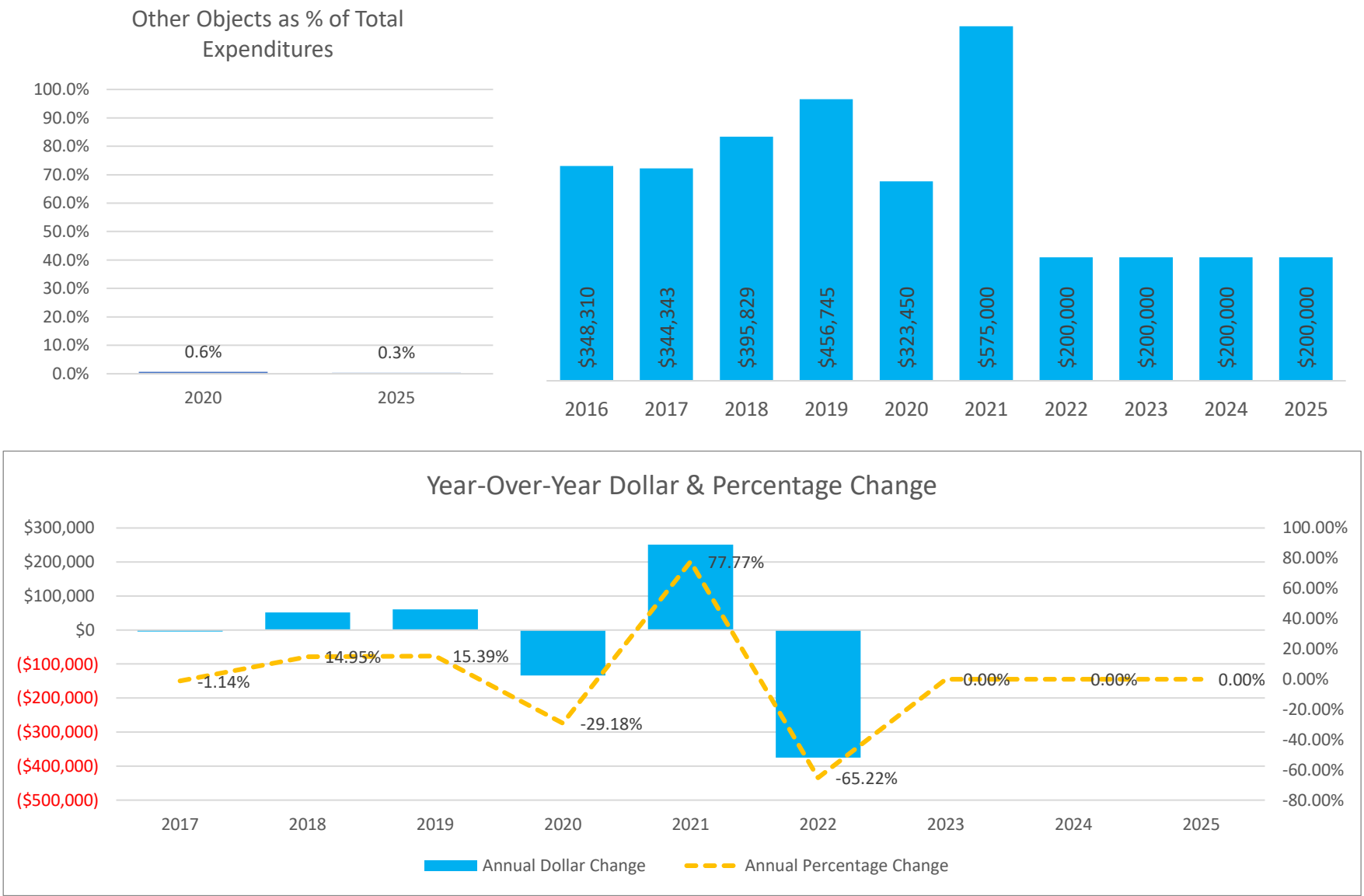
Primary components for this expenditure line are membership dues and fees, ESC contract deductions, County Auditor/Treasurer fees, audit expenses, and election expenses.



Other Objects represent 1.50% of total expenditures and increased at a historical average annual rate of 2.28%. This category of expenditure is projected to grow at an annual average rate of 0.67% through FY 2025. The projected average annual rate of change is -1.61% less than the five year historical annual average.

5.040 - Total Other Financing Uses

Operating transfers-out, advances out to other funds, and all other general fund financing uses.



		FORECASTED				
	2020	2021	2022	2023	2024	2025
Transfers Out	283,450	575,000	200,000	200,000	200,000	200,000
Advances Out	40,000	-	-	-	-	-
Other Financing Uses	-	-	-	-	-	-

Other uses includes expenditures that are generally classified as non-operating. It is typically in the form of advances-out which are then repaid into the general fund from the other district funds. In FY 2020 the district had advances-out and has no advances-out forecasted through FY 2025. The district can also move general funds permanently to other funds and as the schedule above presents, the district has transfers forecasted through FY 2025. The table above presents the district's planned advances and transfers. The district can also have other uses of funds which is reflected in the table above.

Brecksville-Broadview Heights City School District
Five Year Forecast

Fiscal Year:	Actual	FORECASTED				
	2020	2021	2022	2023	2024	2025
Revenue:						
1.010 - General Property Tax (Real Estate)	38,862,359	38,658,437	38,897,784	39,128,736	39,314,816	39,661,852
1.020 - Public Utility Personal Property	2,355,045	2,431,996	2,492,845	2,554,825	2,617,397	2,680,360
1.030 - Income Tax	-	-	-	-	-	-
1.035 - Unrestricted Grants-in-Aid	4,789,577	4,182,051	4,633,542	4,909,017	5,183,280	5,180,006
1.040 - Restricted Grants-in-Aid	245,423	208,968	208,968	208,968	208,968	208,968
1.050 - Property Tax Allocation	4,114,938	4,117,749	4,141,984	4,163,931	4,178,930	4,201,422
1.060 - All Other Operating Revenues	1,616,659	1,563,855	1,594,909	1,637,424	1,637,424	1,637,424
1.070 - Total Revenue	51,984,001	51,163,056	51,970,032	52,602,901	53,140,815	53,570,032
Other Financing Sources:						
2.010 - Proceeds from Sale of Notes	-	-	-	-	-	-
2.020 - State Emergency Loans and Adv	-	-	-	-	-	-
2.040 - Operating Transfers-In	-	-	-	-	-	-
2.050 - Advances-In	141,196	-	-	-	-	-
2.060 - All Other Financing Sources	699,327	89,883	89,883	89,883	89,883	89,883
2.070 - Total Other Financing Sources	840,523	89,883	89,883	89,883	89,883	89,883
2.080 - Total Rev & Other Sources	52,824,524	51,252,939	52,059,915	52,692,784	53,230,698	53,659,915
Expenditures:						
3.010 - Personnel Services	31,419,810	31,929,479	32,783,417	33,706,940	34,694,871	35,550,824
3.020 - Employee Benefits	11,540,680	11,904,804	12,466,398	13,152,572	13,896,480	14,624,296
3.030 - Purchased Services	5,287,889	5,421,973	5,421,973	5,431,396	5,441,466	5,451,590
3.040 - Supplies and Materials	931,791	1,030,644	1,052,167	1,052,167	1,052,167	1,052,167
3.050 - Capital Outlay	172,886	152,919	152,919	152,919	152,919	152,919
Intergovernmental & Debt Service	-	-	-	-	-	-
4.300 - Other Objects	756,281	781,703	781,703	781,703	781,703	781,703
4.500 - Total Expenditures	50,109,339	51,221,522	52,658,577	54,277,697	56,019,606	57,613,499
Other Financing Uses						
5.010 - Operating Transfers-Out	283,450	575,000	200,000	200,000	200,000	200,000
5.020 - Advances-Out	40,000	-	-	-	-	-
5.030 - All Other Financing Uses	-	-	-	-	-	-
5.040 - Total Other Financing Uses	323,450	575,000	200,000	200,000	200,000	200,000
5.050 - Total Exp and Other Financing Uses	50,432,789	51,796,522	52,858,577	54,477,697	56,219,606	57,813,499
6.010 - Excess of Rev Over/(Under) Exp	2,391,735	(543,583)	(798,662)	(1,784,913)	(2,988,908)	(4,153,584)
7.010 - Cash Balance July 1 (No Levies)	17,475,491	19,867,227	19,323,644	18,524,983	16,740,070	13,751,163
7.020 - Cash Balance June 30 (No Levies)	19,867,227	19,323,644	18,524,983	16,740,070	13,751,163	9,597,579
		Reservations				
8.010 - Estimated Encumbrances June 30	-	-	-	-	-	-
9.080 - Reservations Subtotal	-	-	-	-	-	-
10.010 - Fund Bal June 30 for Cert of App	19,867,227	19,323,644	18,524,983	16,740,070	13,751,163	9,597,579
Rev from Replacement/Renewal Levies						
11.010 & 11.020 - Renewal Levies		-	-	-	-	-
11.030 - Cumulative Balance of Levies	-	-	-	-	-	-
12.010 - Fund Bal June 30 for Cert of Obligations	19,867,227	19,323,644	18,524,983	16,740,070	13,751,163	9,597,579
Revenue from New Levies						
13.010 & 13.020 - New Levies		-	-	-	-	-
13.030 - Cumulative Balance of New Levies	-	-	-	-	-	-
15.010 - Unreserved Fund Balance June 30	19,867,227	19,323,644	18,524,983	16,740,070	13,751,163	9,597,579

